

**Before the  
UNITED STATES COPYRIGHT OFFICE  
Library of Congress  
Washington, D.C.**

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**In the Matter of:**

**Section 1201 Study**

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**Docket No. 2015-8**

**Comments of Static Control Components, Inc.**

Static Control Components, Inc. (“Static Control”) appreciates the opportunity to comment upon the issues posed by the Copyright Office in the § 1201 Study. The issues addressed by the study permeate our field of printer supplies and components where the ability to interoperate and repair parts is paramount. The Copyright Office requested comments in its Notice of Inquiry dated December 15, 2015 in the United States Federal Register, Volume 80, Number 249, pages 81369 – 81373 and extended the comment period in the United States Federal Register, Volume 81, Number 33, page 8545. Static Control is focusing its comments on questions two, six, and seven posed by the Copyright Office.

**I. Summary**

Static Control recommends legislative action to amend §1201 to state that repair and interoperability are allowed and lawful fair uses even if circumvention or copying is required to allow said repair or interoperability. Static Control also recommends legislative action to amend §1201 to extend the exemptions for anti-circumvention to the anti-trafficking provisions.

**II. Background**

Static Control began in 1987 and is headquartered in Sanford, North Carolina. Static Control employs approximately 800 workers and manufactures and sells printer components and supplies, including microchips that it sells to third-party companies for use in the repair and remanufacture of toner and inkjet cartridges. With almost 30 years of experience in the repair and remanufacturing industry Static Control is well suited to offer valuable insights and recommendations in response to the Copyright Office’s § 1201 questions. Static Control also has extensive experience in complex litigation entailing questions of relating to § 1201 anti-circumvention and reverse engineering, as well patent, contract, anti-trust and false advertising issues.

To practice the lawful activity of repair, Static Control, and the repair industry as a whole, has encountered a “cloud of uncertainty [that] discourages perfectly reasonable and legal activity.”<sup>1</sup> The repair industry includes many other companies like Static Control that sell

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<sup>1</sup> Public Knowledge and Library Copyright Alliance, Long Comment Regarding a Proposed Exemption Under 17 U.S.C. 1201, at 3, Feb. 6, 2015 (“Public Knowledge and LCA Supp.”).

products containing software, such as garage door openers and auto parts. These companies need to be able to repair products and ensure that they interoperate with other devices without fear of being hauled into court. Such uncertainty was noted by the Registrar of Copyrights, the National Telecommunications and Information Administration (NTIA), Public Knowledge and the Library Copyright Alliance as grounds for a proposed and later accepted exemption for 3D printers.<sup>2</sup> As intellectual property owners continue to attempt to expand their rights under the DMCA in ways that are not supported by the intent of the legislation, Static Control recommends the following to protect interoperability and promoter certainty, creativity and innovation.

### **III. Comments on Interoperability and Anti-trafficking Provisions Posed by the § 1201 Study (Questions 2, 6 and 7)**

Static Control recommends Congress add language to § 1201 to clearly state that circumvention of access controls and technological protection measures (TPMs) to enable interoperability of products is an allowed fair use. Static Control further seeks language that rejects purported contracts with end users that inhibit lawful interoperation as nothing more than masked business models of companies attempting to misuse the DMCA to “create monopolies of manufactured goods”.<sup>3</sup> Currently, whether a specific circumvention falls under the doctrine of fair use or within the interoperability realm is a decision done on a case-by-case, court-by-court basis, which causes inconsistent results and stifles innovation.<sup>4</sup>

Section 1201 has been used by parties attempting to derive benefits not given by the DMCA. One unsuccessful attempt to use the DMCA to prevent repair was Lexmark’s attempt to use access controls to enforce a non-copyright related business model that attempts to limit an end user’s right to repair or reuse a printer cartridge after purchase.<sup>5</sup> Many companies similarly misuse TPMs and access controls in an attempt to protect an unprotected work. Concerns of such misuse of § 1201 to reach “anti-competitive goals” was echoed by the NTIA in its recommendations to the Registrar.<sup>6</sup>

Static Control wants to prevent more clever companies from devising similar tactics that improperly attempt to restrict repair and interoperation and reduce confidence in the copyright law. This sentiment was echoed by the NTIA warning that such a “fundamental misuse of § 1201 ... can lead to the reduced respect for the DMCA and copyright law.”<sup>7</sup> Therefore, Static Control respectfully requests that the language of § 1201 is amended to specifically heed the

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<sup>2</sup> U.S. COPYRIGHT OFFICE, SECTION 1201 RULEMAKING: SIXTH TRIENNIAL PROCEEDING TO DETERMINE EXEMPTIONS TO THE PROHIBITION ON CIRCUMVENTION, RECOMMENDATION OF THE REGISTER OF COPYRIGHTS at 361 (2015), <http://copyright.gov/1201/2015/registers-recommendation.pdf> (citing Public Knowledge and LCA Supp. at 3, 10); NTIA, SIXTH TRIENNIAL SECTION 1201 RULEMAKING, RECOMMENDATIONS OF THE NATIONAL TELECOMMUNICATIONS AND INFORMATION ADMINISTRATION TO THE REGISTER OF COPYRIGHTS, at 90, Sep. 18, 2015 (“2015 NTIA Recommendation”) ((internal citations omitted)).

<sup>3</sup> *Lexmark Int’l, Inc. v. Static Control Components, Inc.*, 387 F.3d 522, 551 (6th Cir. 2004) (Merritt, J. concurring).

<sup>4</sup> See generally *Lexmark Int’l, Inc. v. Static Control Components, Inc.*, 387 F.3d 522 (6th Cir. 2004); *Sega Enterprises, Ltd. v. Accolade, Inc.*, 977 F.2d 1510 (9th Cir. 1993) (use of copyrighted computer work to gain understanding of unprotected functional elements was fair use); *Chamberlain Group, Inc. v. Skylink Tech., Inc.*, 381 F.3d 1178 (Fed.Cir. 2004) (universal transmitter that allowed consumers to access copyrighted software embedded in manufacturer’s “rolling code” garage door openers did not violate anticircumvention section of DMCA).

<sup>5</sup> *Lexmark Int’l, Inc. v. Static Control Components, Inc.*, 387 F.3d 522 (6th Cir. 2004).

<sup>6</sup> 2015 NTIA Recommendations at 7.

<sup>7</sup> *Id.*

warnings of the Sixth Circuit and NTIA in protecting against the use of the DMCA as an anti-competitive weapon. Companies should not be able to restrict interoperability or competition as they are necessary and lawful components for the advancement and innovation of intellectual property.

Two weapons used by companies intending to impose unlawful and anticompetitive restrictions are the anti-trafficking provisions §§ 1201(a)(2) and 1201(b). The underlying requirement for each prong of liability in the anti-trafficking provisions is that the work must be “protected under this title”.<sup>8</sup> Thus, the work must have copyright protection before any of these provisions may be applied. However, as discussed above, business models that protect uncopyrightable work can be used in an anti-competitive ways to block interoperability and attempt to add rights not granted under intellectual property laws. The anti-trafficking provisions need to be amended to clarify that repair and interoperability are lawful fair uses even if circumvention or copying is required to allow said repair or interoperability.

In furtherance of these aims, Static Control believes that § 1201 should be amended to allow adoption of exemptions to the prohibition on circumvention and extend the exemptions to the anti-trafficking prohibitions. As noted by the Librarian of Congress, he has no authority to adopt exemptions for the anti-trafficking prohibitions in §1201(a)(2) or (b) and therefore, congressional action and legislation is needed to extend such rights.<sup>9</sup> Otherwise, a lawful act of creating and developing a work under one portion of §1201 would be barred from being manufactured, imported, or sold.<sup>10</sup> Therefore, the extension of the exemptions to anti-trafficking provisions not only makes common sense, but will help to harmonize the current legislation.

#### **IV. Conclusion**

Static Control respectfully requests that the Copyright Office recommend to Congress to amend §1201 to state that repair and interoperability are allowed and lawful fair uses even if circumvention or copying is required to allow said repair or interoperability and to extend the exemptions for anti-circumvention to the anti-trafficking provisions.

Respectfully submitted,



William L. London  
Vice President & General Counsel  
Static Control Components, Inc.

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<sup>8</sup> 17 U.S.C. §§ 1201(a)(2) and 1201(b).

<sup>9</sup> Copyright Office, Library of Congress, *Final Rule: Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies*, 37 C.F.R. 201, Docket No. 2014-07, Effective Oct. 28, 2015, dated Oct. 20, 2015, available at <http://federalregister.gov/a/2015-27212>.

<sup>10</sup> 17 U.S.C. §§ 1201(a)(2) and 1201(b).